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SILICON VALLEY-BASED venture capital firm Tribe Capital said in a recent report that the total market capitalisation of VC-backed Indian public companies had crossed \$50 billion in 2023, from less than \$5 billion in 2020. Yet, the share of global VC investments into India had dropped to 3.3 per cent in 2023 from 5.5 per cent in 2019. This conundrum encapsulates the en-

during puzzle of India's start-up opportunity—a canvas woven with challenges and prospects.

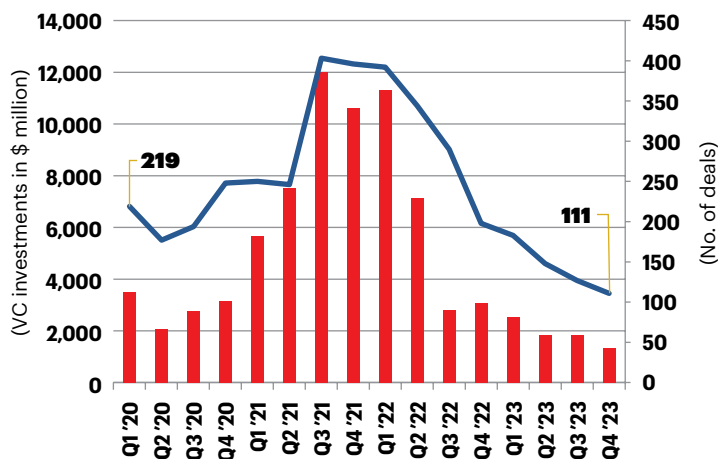
While concerns about the lack of global investment flowing into India remain, the current sombre atmosphere is more a result of global macro events. Following a stellar year with \$36 billion being poured into start-ups and the birth of 44 unicorns in 2021, a combination of global macro events—including the conflict in Ukraine, rising inflation, a spike in interest rates, and the lacklustre performance of tech stocks in public markets—has made investors jittery. As the mood shifts from exuberance to austerity, VC investors have directed their attention towards companies that exhibit disciplined control over cash burn, prioritise cash conservation and engage in judicious hiring prac-

tices. There is a clear preference for backing profitable or profit-focused start-ups over those which aggressively chase growth. Discussions on corporate governance and internal controls have also become integral components of deal negotiations and due diligence processes.

“After the tumultuous year of 2022, this year (2023) marked a shift towards stabilisation. The focus of the investors [turned towards] re-evaluating approaches, re-defining matrices and to a certain extent, re-designing the investment thesis both to address the challenges like corporate governance and to adapt to the new environment,” says Prateek Jain, Principal at Fundamentum, a VC firm. He adds that forensic due-diligence, so far an exception, became the norm in 2023 and this contributed to decreased

VC INVESTMENTS IN INDIA

- VC FUNDING IN 2023 PLUMMETED TO AROUND A FIFTH OF ITS 2021 LEVELS
- DEAL VOLUME DROPPED BY 56 PER CENT FROM 2021

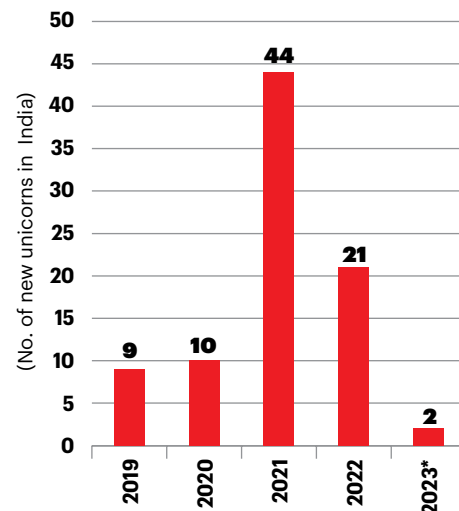


NOTE VC INCLUDES SEED TO SERIES F INVESTMENTS IN COMPANIES LESS THAN 10 YEARS OLD AND LATE-STAGE TECH INVESTMENTS; DATA EXCLUDES POST-2018 INVESTMENTS INTO FLIPKART; DATA AS OF DECEMBER 15, 2023

SOURCE VENTURE INTELLIGENCE

NEW UNICORNS

- JUST TWO NEW UNICORNS EMERGED IN 2023 COMPARED TO 44 IN 2021
- ZEPTO EMERGED IN AUGUST; INCRED FOLLOWED IN DECEMBER



*DATA AS OF DECEMBER 28, 2023

SOURCE VENTURE INTELLIGENCE